

BUSINESS HIGH-Level Assessment Exam #2 (2026-SM1)

PRACTICE TEST B

Covering: Unit 1, LPs 1-5, 1-6, 1-7, 1-8, 1-9 and 1-10

STUDENT NAME: _____ PERIOD: _____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

STUDENT SIGNATURE: _____

1) Risk Management is defined as: (True/False)

Audits, safety, integrity, accuracy.

TRUE FALSE

MATCH the FOLLOWING:

- Relevant Data
- Raw Data
- Trade Secrets

2) _____: Only useful data, collected/stored; info used to make decisions

3) _____: Info/data before it becomes useful info

4) _____: Not known outside of the company, with "economic value"

5) Information Management ORGANIZES information so you can:

- A) Search, retrieve, archive
- B) Manufacture, purchase, deliver
- C) Tax, insure, report
- D) Buy, sell, trade

6) Which is an example of RELEVANT data?

- A) 100 people attended a movie premiere
- B) Of 100 people, 50 were 40-60 years old, 30 were 20-30, and 20 were 18 and below
- C) The theater has 100 seats
- D) The movie was 2 hours long

7) TRUE / FALSE _____ Cyber security protects sensitive info and trade secrets, and stops ransom attacks.

8) TRUE / FALSE _____ Intangible assets have value but are not physical.

9) TRUE / FALSE _____ Intellectual Property is defined as:

Not known outside of the company, with "economic value."

***Use the GROSS PROFIT EQUATION for 10 and 11:**

A Nike shoe sells for \$100. Its COGS (material, labor, rubber, glue) is \$25.

10) What is the gross profit?

- A) \$125
- B) \$25
- C) \$75
- D) \$4

11) What is the gross margin %?

- A) 75%
- B) 25%
- C) 300%
- D) 60%

*** Match the following:**

Goes Up

Goes Down

12) _____ : When COGS goes UP, gross profit _____

13) _____ : When COGS goes UP, gross margin % _____

14) _____ : When COGS goes DOWN, gross profit _____

15) _____ : When COGS goes DOWN, gross margin % _____

16) TRUE / FALSE _____ The industry standard gross profit margin for tech companies is 70%.

17) TRUE / FALSE _____ Gross margin % = sales price divided by gross profit.

18) Direct sales, D2C, bricks + clicks, crowdfunding, and MLM are all examples of business:

- A) Trends
- B) Models
- C) Functions
- D) Liabilities

***Match the following business models:**

- Direct Sales
- D2C
- Bricks + Clicks
- Crowdfunding
- MLM

19) Selling directly to consumers in a non-retail environment, like door to door (Mary Kay).

Correct answer: _____

20) Direct to Consumer: no middlemen (Tesla).

Correct answer: _____

21) Stores plus online ordering for pickup or delivery (Target, Walmart, Kohl's).

Correct answer: _____

22) Raising small amounts of money from many people (Kickstarter, GoFundMe).

Correct answer: _____

23) Multi-level marketing: sellers earn from their own sales and from recruiting others.

Correct answer: _____

24) Platform user experiences are based on exact human (consumer) behavior: emotions, feelings, thoughts, impulses.

TRUE FALSE

25) Which business model is "buy cheap, sell cheap," like Dollar Tree?

- A) Brick + Mortar
- B) Crowdfunding
- C) MLM
- D) Nickel + Dime

26) Nevada Power is an example of a:

- A) regulated monopoly
- B) oligopoly
- C) pure competition
- D) monopolistic competition

*** MATCH THE FOLLOWING:**

- Direct
- Indirect
- Pure Competition
- Oligopoly
- Monopoly

27) _____: Offers the same product/service (Target vs. Walmart)

28) _____: Product/service not the same, but satisfies the same need (bus vs. plane)

29) _____: Same product/price, low barriers (agriculture)

30) _____: Control of goods/services, high barriers (airlines, wireless carriers)

31) _____: Corners the market; illegal

32) TRUE / FALSE _____ The Internet of Things (IoT) is a network of devices connected to the internet that identify themselves and communicate with other devices and systems.

33) TRUE / FALSE _____ In a C corporation, taxes "pass thru" to the shareholders only.

SCENARIO ANALYSIS: Evaluate the situation, then create a solution/resolve.

SCENARIO 1: Closing a store

You are the VP of National Sales and Marketing for a clothing company. 70% of your sales come from the northeastern states. The CEO tells you to close your weakest store.

34) EVALUATE: What information do you need, and which business functions would you get it from? **(3 points)**

35) CREATE A SOLUTION: How do you decide which store to close? **(2 points)**

SCENARIO 2: A bookstore losing customers

A local bookstore only sells in its physical store. Sales are dropping because more of its customers shop online.

36) EVALUATE: What business model is the bookstore using, and what is the problem? **(2 points)**

37) CREATE A SOLUTION: What business model should it switch to, and why? **(2 points)**

SCENARIO 3: Selling sneakers alone

You start a secondhand sneaker business by yourself. A customer slips in your store and sues you, and you also owe \$30,000 on a business loan.

38) EVALUATE: What type of business ownership is this, and what kind of liability do you have? **(2 points)**

39) RESOLVE: How could you set up the business to protect yourself? **(2 points)**

SCENARIO 4: A new store in town

A Target opens right across the street from a Walmart.

40) EVALUATE AND RESOLVE: What type of competition is this, and name 3 ways the town and its shoppers benefit. **(4 points)**

ANSWER KEY: PRACTICE TEST B

Questions 1-33 (multiple choice, matching, true/false) are 1 point each. The scenario analysis, 34-40, is worth 17 points. Total: 50 points.

- 1) **TRUE.** Risk management: audits, safety, integrity, accuracy.
- 2) **Relevant Data.** Relevant data ("accessible + useful").
- 3) **Raw Data.**
- 4) **Trade Secrets.**
- 5) **A) Search, retrieve, archive.** Organizes: search, retrieve, archive.
- 6) **B) Of 100 people, 50 were 40-60 years old, 30 were 20-30, and 20 were 18 and below.** Relevant data is organized so it helps make a decision. "100 people attended" is raw.
- 7) **TRUE.**
- 8) **TRUE.** A trade secret like the Coke formula is one.
- 9) **FALSE.** That is trade secrets. Intellectual property is ideas, inventions, methods.
- 10) **C) \$75.** $\$100 - \$25 = \$75$.
- 11) **A) 75%.** $\$75 / \$100 = 75\%$.
- 12) **Goes Down.** COGS up: gross profit goes down.
- 13) **Goes Down.** COGS up: gross margin % goes down.
- 14) **Goes Up.** COGS down: gross profit goes up.
- 15) **Goes Up.** COGS down: gross margin % goes up.
- 16) **TRUE.** Manufacturers are 25-35%.
- 17) **FALSE.** It's gross profit divided by sales price: $\$12 / \$20 = 60\%$.
- 18) **B) Models.** They are business models, and a company chooses its business model.
- 19) **Direct Sales.**
- 20) **D2C.**
- 21) **Bricks + Clicks.**
- 22) **Crowdfunding.**
- 23) **MLM.**
- 24) **TRUE.** That line is on the board.
- 25) **D) Nickel + Dime.** Nickel + dime.
- 26) **A) regulated monopoly.** A regulated monopoly: a "utility" the FTC allows, like Nevada Power.
- 27) **Direct.** Direct competition.
- 28) **Indirect.** Indirect competition.
- 29) **Pure Competition.**
- 30) **Oligopoly.**
- 31) **Monopoly.**
- 32) **TRUE.** Refrigerators, thermostats, lights, cars, smart clothes.
- 33) **FALSE.** Pass-through is the S corporation. A C corporation has double taxation.

SCENARIO 1: Closing a store

34) (3 points) Each store's sales numbers, pulled from Information Management, operations, accounting/finance, and marketing and sales.

- 1 point: the sales numbers for each store (relevant data).
- 1 point: from Information Management.
- 1 point: plus at least one more function: operations, accounting/finance, or marketing and sales.

35) (2 points) Compare the stores and close the lowest performer (like the Boise, Idaho store in class). The data makes it an informed decision.

- 1 point: compare the stores' numbers and pick the lowest performer.
- 1 point: that makes it an informed decision based on the data.

SCENARIO 2: A bookstore losing customers

36) (2 points) Brick + mortar. It can't reach online shoppers, so sales drop.

- 1 point: brick + mortar (physical store only).
- 1 point: it can't reach customers who shop online, so it is losing sales.

37) (2 points) Bricks + clicks: add online ordering to the store to reach more customers and increase sales.

Businesses must adapt and innovate.

- 1 point: bricks + clicks: keep the store and add online ordering for pickup or delivery.
- 1 point: why: reach more customers and increase sales (change is the only constant: businesses must adapt and innovate).

SCENARIO 3: Selling sneakers alone

38) (2 points) A sole proprietorship with unlimited liability: you're personally responsible for the lawsuit and the debt.

- 1 point: sole proprietor.
- 1 point: unlimited liability: you are personally responsible for the lawsuit (actions) and the loan (debt).

39) (2 points) Form an LLC: you can only lose what you invested, and taxes still pass to you.

- 1 point: form an LLC (limited liability company).
- 1 point: why: your loss is limited to the amount you invested, and taxes still pass to the owner.

SCENARIO 4: A new store in town

40) (4 points) Direct competition. Shoppers get better prices, more choice and better quality, and the new store creates jobs for the economy.

- 1 point: direct competition (same products/services).
- 3 points: any 3 effects: pricing control, choice/variety, innovation, quality, the economy (jobs), the consumer (society benefits).